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EDITED TRANSCRIPT

Q1 2026 UNITED OVERSEAS BANK LTD TRADING UPDATE CALL

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An LSEG Business



CORPORATE PARTICIPANTS

- **Wee Ee Cheong** *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*
- **Yung Chee Leong** *United Overseas Bank Ltd - Group Chief Financial Officer*

CONFERENCE CALL PARTICIPANTS

- **Operator**
- **Renu Menon** *The Business Times - Journalist*
- **Rae Wee** *Thomson Reuters Corporation - Journalist*

PRESENTATION

Operator

Good morning, everyone. Welcome to the first results media briefing of this financial year.

Today, we have with us our Deputy Chairman and Group CEO, Mr. Wee Ee Cheong; and our Group CFO, Mr. Leong Yung Chee.

As usual, Mr. Wee will begin by giving a broad overview of how our franchise has performed and the operating landscape that we are all in. Mr. Leong will then go into more details on the financials and business performance from this quarter. After both presentations, we will be taking questions from the media.

I would now like to invite our CEO to get us started. Mr. Wee, please.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Good morning. Thank you for joining us today. Happy to see all the usual faces.

As all of you know -- I don't have to say it -- we are operating in a period of heightened global uncertainty. Energy prices are volatile. Supply chains remain under pressure. Inflation risk have resurfaced. These are real challenges. We are watching development closely.

In time like this, customer looks for stability. At UOB, we continue to work alongside our customers, as they manage higher costs and volatility; and as they seize opportunities across the region. That is our priority: to be right by our customers.

But we enter this period of uncertainty from a position of strength. Our balance sheet remains strong. Our capital and liquidity position are robust. Our reserve buffers give us the capacity to support customer, as they navigate an uncertain (technical difficulty).

As you know, our CET1 ratio, first quarter, is 15.3%. NPA coverage, 100%. [GP] performance versus performing loans is at 1%. This is consistent with how we have operated over nine years (technical difficulty) -- how we will continue through uncertain times.

Now, moving to our results, UOB delivered a resilient performance in the first quarter.

Net profit was SGD1.4 billion, moderating 4% year on year and up 2% quarter on quarter, driven by our core franchise. Compared with the fourth quarter, net interest margin held up at 1.82%.

Wealth and loan-related fees normalized from fourth quarter seasonal lending. Trading and investment income rebounded. Expenses were well controlled.

Asset quality was resilient, with NPL ratio stable at 1.5% and total credit cost within expectations. Our balance sheets remain strong, with high CET1 ratio of 15.3% and robust liquidity ratio.

This outcome reflects the quality of our earnings, underpinned by our diversified business model and our regional franchise.

Now, let me go through the business aspect of the bank:

In Retail Banking, we saw steady growth in CASA, up 10% year on year; on wealth, up 6% year on year; and card billings, up 7%. In wealth, we are making progress, supported by growth in AUM and higher conversion of customer assets into investment.

In Wholesale Banking, momentum was positive, with healthy loan growth. We continue to expand our RWA light revenue stream through regional connectivity flow, with double-digit growth in CASA and trade loans. Our trade loans, first quarter of this year, up 19%, year on year. CASA up 10%, year on year.

Global Markets delivered record-high income in a more volatile environment.

We have never been more confident. Our foundation are in place across ASEAN. We are now focused on harnessing this potential.

As a long-term operator, what drive us is achieving steady, sustainable returns over the long haul. We are executing according to our plans and not chasing quick short-term result, especially given the volatile market we are in.

Now, let me further elaborate, today, we serve 8.5 million customer across our ASEAN footprint. We continue to grow organically. This scale give us a stronger base to deepen relationship, build ecosystem partnerships, and deliver tangible value to customers.

Over the past three years, our focus has been on integrating the Citi portfolio and bringing everything into a single unified platform. That work is largely completed. It position us as one of the most connected banking franchises in ASEAN, with strong capabilities across Retail, SME, and Wholesale Banking.

We are moving into the next phase now, unlocking the value of our enlarged customer base to reshape the group towards a more diversified, fee-driven mix, anchored on connectivity; trade and cash; lifestyle solutions, like credit cards and wealth.

In Retail, we see significant opportunities, including in wealth, underpinned by a large and increasingly affluent customer base that is under-penetrated. This give us a long runway for sustainable organic growth.

Our immediate focus is to grow AUM and improve invested AUM penetration (inaudible) -- execution over the next few quarters will be focused on these key initiatives:

One bank approach: tapping our strength in Retail, SME, and Wholesale; strengthening advisory with more personalized solutions; continuing to invest in talent, including in private banking; and advancing digital and cross-border wealth capabilities, particularly within ASEAN and with North Asia.

Over time, our ambition is clear: to double wealth income by 2030 through disciplined organic execution in platform, people, and solution.

Beyond Retail, our strong regional franchise allow us to play a meaningful role in supporting foreign direct investment and cross-border growth. One example, Johor-Singapore Special Economic Zone. Through our green-lane arrangement with Invest Johor, we have helped facilitate more than SGD5.8 billion in FDI into the zone.

This reflect our role as a regional connector across ASEAN and our commitment to supporting long-term growth. Our integrated platforms for payment, trade, and cash; and deep sector expertise are powering trade and transaction banking growth.

We are deepening coverage in high-growth sectors, such as technology, sustainable energy, EVs, consumer goods, and infrastructure. We are also penetrating our customer supply-chain ecosystems to support their regional growth.

Across Retail and Wholesale, we are reshaping the group towards capital-light, higher ROE growth, supported by a more disciplined approach to balance-sheet management. We are confident of achieving sustainable growth, with stability in the coming years.

Let me close with a few thoughts on the road ahead:

Macro environment is uncertain. We stay vigilant. UOB has weathered many cycles before. We'll continue to work closely with our customers, partners, and stakeholders to capture opportunities for long-term growth and manage risk with discipline.

We are also investing in our people, building AI-ready skills and embedding AI across the bank to work smarter and more efficiently. As you know, we recently moved our tech and innovation teams to the Punggol Digital District, as you can see from [screen time]

today, in the heart of Singapore innovation ecosystem.

Now, to guide you for this year, we expect low-single-digit loan growth, full-year NIM of 1.75% to 1.8%, high-single-digit fee growth, low-single-digit operating cost growth, total credit cost of 25 basis points to 30 basis points.

Through good times and difficult ones, we will continue to be the steady hand our customer can count on.

Thank you. Now, I invite Leong Chee to share more in terms of financial details. Thank you.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Thank you, Ee Cheong. Good morning, everyone.

Before I go through the financial results, let me start with a few key messages that you should take away (technical difficulty) --:

Our first-quarter performance reflected the resilience of our diversified franchise. It has been a steady performance that we delivered. I'll go through the financial details of each of those items in a short while.

I wanted to highlight that, in terms of the execution of our strategic priorities, all of our businesses, whether it's Retail, Wholesale, and Markets, have continued to show and evidence steady growth.

In Retail, both the CASA and wealth products, as well as credit cards, demonstrated steady growth; while in Wholesale, we saw double-digit growth momentum in trade, as well as CASA; likewise, for Global Markets.

The third message to leave with you is a stable risk profile with a limited Middle East exposure that has been stress-tested. Our capital and provision buffers continue to remain resilient and will help us navigate the uncertainties in the market.

Lastly, in terms of momentum in the business, we continue to see healthy client engagement and pipeline activity, even with the market volatilities that we are seeing.

In terms of the financial highlights, in the first quarter of 2026, we delivered an operating profit of SGD1.9 billion and a net profit of SGD1.4 billion. This was 2% up quarter on quarter and 4% down year on year.

Net interest margin moderated 2 basis points to [1.82]. We have a page discussing this in more detail later, which I'll go through. The move in terms of the net interest margin is consistent with the prevailing rate environment. But it was also offset by proactive management of our funding cost.

In terms of net fee income, we maintained positive trajectory, rising 2% from last quarter. This was driven primarily by strong loan-related fees, as well as steady wealth management activity.

Trading and investment income increased 88% quarter on quarter to SGD405 million. This follows a seasonal year-end lull in the fourth quarter of last year. This is alongside more favorable trading and liquidity management performance.

Asset quality remains stable at 1.5%; NPL ratio, at 1.5%; while our NPA coverage remain at a healthy 100%. Including the collateral, taken into account, that's 272%. Again, I have a page that goes into that in more detail.

Our capital and funding positions remain strong. CET1 ratio at [15.3], with NSFR at 115%.

Next, I'll just draw your attention to two lines here in terms of operating profit. If you look at the middle of the page there, quarter on quarter, we grew 8%. At the net profit line, quarter on quarter, we grew 2%.

Next, I'll focus on the group Retail performance. In terms of the overall performance, our Retail franchise remain consistent and disciplined, focusing on priorities and delivery across the businesses.

Although the challenging rate environment led to a moderation of profit at the profit before tax level to SGD537 million, it was a continued benefit from resilient contributions from our wealth management and cards business.

In terms of wealth, invested AUM and wealth income rose 9% and 6%, respectively. Card billings also grew a healthy 7%, year on year. Likewise, for our retail CASA balances, it grew 10% year on year, with the CASA mix to deposits improving to 58%. This reinforces the strength and stability of our group's deposit franchise.

Next, I'll cover Wholesale Banking. Likewise, consistent execution of our strategies have led to a consistent delivery of results.

If you look at our transaction banking line, it continues to remain about half of the Wholesale Banking income, supported primarily by double-digit growth in CASA balances, as well as trade loans.

I think you saw in CEO's presentation earlier, CASA balances grew 10%, while our trade loans grew 19%. From a customer treasury income for Wholesale customers, it grew 11%.

Investment banking continued to show good momentum. Year on year, you see some moderation because, first quarter of last year, we had mentioned that there was an extraordinary slew of items, one-off transactions, during that quarter.

Overall, loans grew 4% year on year, continued to be led by solid demand in the technology sector, in particular.

Next. In Global Markets, client demand for hedging and investment solutions rebounded following the year-end seasonal slowdown, lifting our customer treasury income to SGD294 million.

Also, from the non-customer treasury income, a favorable cost of funds environment helped us to capture liquidity deployment and trading opportunities amid the heightened market volatility.

Next, I'll talk about net interest income and margins. Net interest income did moderate due to the shorter quarter by 1%. If this was day-adjusted, the net interest income would have increased by 1%.

Overall, our net interest income remained resilient at SGD2.3 billion, underpinned by disciplined funding cost management, balance sheet optimization, as well as modest asset growth.

I'll discuss the NIM in more detail on this page. If you recall, our fourth-quarter NIM was at [1.84]. We walk through from left to right.

Despite a lower SORA environment in the quarter, our Sing dollar book delivered a 3 basis points uplift. The HIBOR, however, reduced NIM by 2 basis points, reflecting some of the rate dynamics in the Hong Kong dollar book.

We did undertake proactive funding cost management, both across Retail deposits in the form of our One Account. We also did the same for our Wholesale Banking deposits; and, led together, offset the asset pricing pressures.

Just one more point on the NIMs: The exit NIM for the quarter was [1.83%]. We ended the quarter at 1.83%.

Gross fee income grew by 1% to SGD857 million. This continues to be underpinned by momentum and wealth, as well as loan-related fees. Card fees dipped in March. But we expect that to normalize, in terms of spending, for the rest of the year.

Next, expenses. Stable expenses. Strong management discipline in terms of managing our IT, non-IT, and other expenses. Our overall expenses stood at SGD1.5 billion.

This is balanced with continued investment in three areas: strategic initiatives that we are deploying across the bank; technology to support franchise expansion and meet regulatory environment requirements; and, third, our people.

In the next couple of pages, I'll discuss our asset quality in more detail. Non-performing ratio stood at 1.5%, unchanged. If you look at our NPA formation, it's SGD341 million.

The following page discusses some of the credit costs. From 19 basis points total credit cost last quarter, this quarter's total credit cost is at 26 basis points, in line with our guidance: 25basis points to 30 basis points.

The general allowance write-back in the quarter reflected certain migration accounts to NPL, with a lower write-back versus last quarter, underscoring our continued conservative provisioning stance.

Next. In terms of our coverage ratios, we maintain our GDP coverage ratio at 1%, NPA coverage at 100%. The unsecured NPA coverage improved to 272%, as I mentioned earlier on.

Gross loans grew 4%, year on year. This was driven by broad-based expansion across our businesses in Wholesale; term funding; trade lending; and, also, Retail mortgages.

The quality-focus lending is amidst very strong market competition, even amidst prevailing market conditions.

Let's talk about funding next. Our liquidity and funding positions remain solid, with LCR at 144% and NSFR at 115%, both comfortably above the minimum regulatory requirements. CASA deposit balances continue to remain strong, underpinning our stable funding profile.

In terms of capital, our CET ratio for the quarter, CET ratio of 15.3%; fully loaded, 15.2%.

With this strong capital base and resilient liquidity position, we are well positioned to support customers through this period of uncertainty.

Our return of excess capital to shareholders remain on track: our SGD2 billion share buyback program. As at March 2026, we have done SGD706 million, equivalent to roughly 35% of that plan. It is on track.

In summary, let me just repeat some of the key messages for you:

Our performance reflects the resilience of our franchise. We continue to execute consistently across key segments. Direct exposure to the Middle East remains limited. We do expect uncertainties to prevail. But our capital base is strong and provision buffers are adequate to help us manage through that.

Looking ahead, in terms of guidance, loan growth, to be in the low-single-digit range for this year; net interest margin, to be within [1.75] to [1.8].

Continued execution in wealth, cards, and trade will support fee income growth towards high-single-digit levels. We remain disciplined on costs. But we expect some low-single-digit growth in terms of our operating costs, as we continue to invest in technology and people, as well as our strategic priorities.

With that, I conclude my presentation. We will open up to questions and answers.

QUESTIONS AND ANSWERS

Operator

Thank you, Leong Chee. We will now begin the Q&A segment.

(Operator Instructions)

[Lynne].

Unidentified Participant

Hi. Congrats on the numbers, (inaudible). I have three questions.

The first one: Could you talk a little bit more? I think, at the beginning, you mentioned UOB is looking to double wealth income by 2030. What number we will see by then? I'm not sure which base you are looking at.

Second question: Many analysts pointed out to NPA formation in Greater China, which expanded 15% on quarter. Which sector is that? Is it still CRE? Could you share with us: Hong Kong or Mainland?

The third question is that whether UOB is looking to seek access to Mythos, the Ant Group's AI model? What are you doing about that?

Thank you.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

I anticipated for this wealth question. Okay. I think, over the last three years, our focus has been on integrating the Citi consumer, even though we took over Citibank for the last five -- or since four years ago.

The whole integration effort is very critical for me. Everything is over now.

As you listen from my speech, I think we will position us to be one of the most connected bank because we took over -- we have the most comprehensive ASEAN footprints. That takes a lot of time, effort to connect.

Now, without all this infrastructure, it's going to be very difficult. Also, I don't want to take in the customer, if I cannot deliver.

Okay. I think all these are way ahead of what we anticipated. I think, for this year, the next few quarters, we'll start to see the wealth business will be picking (inaudible) -- because we are focusing on doubling our wealth, as you said.

We will continue to double our wealth management, [RM]. The infrastructure is ready. We are also focusing on one bank approach because, the Wholesale and Retail, we all work together to generate.

Also, we are strong in foreign direct investment. These are all the foreign people coming in to operate in this region.

As an organization, as a bank, the effort is collective effort that we are trying to work on.

To answer you, yes, the next few quarters or the next one, two years, we will start to see -- we are doubling our wealth.

Unidentified Participant

Income?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Income.

Unidentified Participant

Yeah. Any number that we can see -- we may see -- at the end of 2030?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

The number would be great. I cannot tell you the number. But I think, definitely, it's a big potential, looking at our customer base that we have.

Unidentified Participant

Yes. This is the whole bank, not just private bank but wealth?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

No. The whole bank.

Unidentified Participant

Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

The whole bank.

Unidentified Participant

Thank you, Mr. Wee.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

The private bank would be -- again, it's a whole collective.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

If I could (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

It will come.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- could supplement a few of that:

[Chanya], if you're looking for a reference point, 2025 is when we communicated. Use that 2025 as reference point.

Unidentified Participant

Sounds about right.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

That's all right. All right. For doubling of wealth to 2030.

You had another question on the Greater China NPA formation that is specific to real estate. But, if you look from an NPL ratio, it is a heightened NPL ratio with lower NPA coverage. But unsecured coverage continues to remain high, right?

I think you had a question on Anthropic and its announcement. I think was on April 7.

Regarding my thoughts, I think this is something we are all taking very seriously. But, although, to date, many of our vendors and key partners in the technology space are still assessing and reviewing actions to be taken.

In the meantime, from our own perspective, a lot of things are being done in terms of strengthening our surveillance; hardening our infrastructure; making sure we are working jointly with the agencies in Singapore and, also, in the industry peer group, as well.

Everybody is keeping each other abreast in terms of developments on how to navigate, as that evolves.

It will not be the first and probably not be the last of such attacks -- not attacks, sorry -- such capabilities that could lead to attacks.

Unidentified Participant

Will you have access to this?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

I think this is exactly what I tried to say. These are the current infrastructure.

But we want to bring in customer (inaudible - microphone inaccessible) -- that they feel safe.

Unidentified Participant

Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

You look at our tech line, right by you. Very important. Rather than, I just take a short-term profit, it's easy money.

You look at, even, our deposit growth, it's quite muted. Why? Market is uncertain.

(multiple speakers)

If I take the money in, where do I have to place up? If the long growth is not as good -- like, unless I want to enlarge my balance sheets, is it the right time to do this? Right?

(multiple speakers)

I think P&L is one thing. Balance sheet is one thing. The world is still very uncertain, right? Even across ASEAN today, right? You look at Thailand, they have an oil crisis. Maybe Malaysia, Indonesia is good. But, for us, it's a portfolio that we are looking at.

Unidentified Participant

Thank you. Thank you.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Operator

Renu.

Renu Menon *The Business Times - Journalist*

Morning. Renu, from The Business Times. Congratulations on the results. Two broad questions.

First, on wealth talent, right? You mentioned you'll be boosting hiring. Is it mostly in the ASEAN forum market so can we expect some hiring in Singapore, as well?

There's quite a bit of competition for the wealth talent among all the banks. How are you going to navigate that?

The second broad question is on the house view on US Fed and the rate expectations. Has that changed from three months ago? What's your own interest income sensitivity to that?

Thank you.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

The wealth space is something that -- yes, competition is there. Everyone is competing.

But, if you want to join an organization, you have to see the customer base. Because you, as an individual, your connection is limited. You want to join an organization that can help to support you, over and above your own connection.

You look at us. We have the ASEAN footprints. We also have the North Asia that we want to double down.

We have two engines that we are running. Plus, as I emphasize: It's a one bank approach.

My Wholesale, I cannot share with you the statistic but I have the statistic -- the Wholesale bankers supporting a lot of our Retail customers.

What we're doing now is to make sure the infrastructure is ready, right? From the user-friendly standpoint, also, to protect the customer. That, to me, is important.

Then, if we are ready, we are -- and, in fact, we are ready. The next few quarter, you will start to see coming.

I don't want to have a short term; and then, customer are not happy; then they leave to somebody else. Because, strategically, I think, Singapore, you got to look at it in the medium to long term with the Middle East crisis.

Singapore, increasingly, will (technical difficulty). We are one of the local bank, okay?

I don't see our wealth figure is so much different, given our set-up; given our ASEAN footprint. Bear that in mind.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

On the interest rate question, maybe I can take that.

Our house view on US rates is that we expect there's still one more rate cut this year. But the translation between US rates to SORA, I think, has significantly decoupled compared to history.

We are obviously a lot more sensitive to SORA, as opposed to US rates.

As far as SORA is concerned, we expect limited -- more downside on SORA. I think it has already moved significantly over the course of last year.

If you look at NIMs from our last two quarters, in fact, it's been bouncing around and quite stabilized -- looking quite stabilized. Even if there is downside, it is fairly limited.

I point you, again, to our NIM guidance for the full year. We think it -- 1.75% to 1.8% should be comfortably within that range.

Operator

Rae?

Rae Wee Thomson *Reuters Corporation - Journalist*

Hi. Rae, from Reuters. Thanks for the presentation. Congrats on your results.

I have a follow-up on the wealth angle. In terms of flows, where are you seeing the greatest opportunities from flows?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

I would say ASEAN is one of them. South Asia. Even though we are not so strong on South Asia, I -- increasingly, we are also paying a lot of attention from Greater China.

The Middle East is not so obvious at this point in time. Mid to long term, it may swing some of the activity back to ASEAN. But it's yet to be seen.

I think our immediate is the customer base that we have, right? Not so much -- yes, new customer, it will come, okay? We will engage relationship manager. They will target new customer.

My existing customer base of over 8 million, this is where the low-hanging fruit is. This is why we are very, very confident, the next few quarters -- I cannot tell you the number, right?

We will definitely increase the AUM. We also improve the investor (technical difficulty) -- because the investor AUM is the customer base that you have.

If we are -- we are conservative. We want to protect our customer. You don't just ask them to take money, invest. Because, today, the environment is very uncertain. I would rather they be safe.

We can earn less fee. But they are -- I want them to be safe.

(inaudible) -- opportunity comes, this is where the potential is.

Rae Wee Thomson Reuters Corporation - Journalist

Thank you. Another question on the war itself: I know you have limited exposure in the Middle East. But then, the higher oil prices are hitting pretty hard the ASEAN economy.

Where do you see the impact from that, especially given your focus on the (multiple speakers) --?

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

Yeah, I think the first-order impact, I think, for the Middle East -- I think our exposure is quite insignificant. Second-order impact is that may affect the SME customer.

So far, we are going through a stress analysis. It's too early to tell at this point in time, okay, because everything is so fluid. The worst is, if it's prolonged, then you may get a stagflation thing: inflation and no growth.

This is where I keep emphasize balance (inaudible) -- is important. UOB capital is strong. We want to make sure we're ready to serve the customer.

P&L, yes, it's important. All of you, looking at P&L. Yeah. I'm also looking at P&L. But, end of the day, we have to have a balance.

I have to be strong first, then P&L. If I'm weak, I just continue to drive P&L. But my capital is not (technical difficulty) -- then I'm chasing after too many things.

At this point, market is uncertain. We want to make sure our staff is well trained to combat AI. You can see the government is, also, paying a lot of attention of the people and all these things.

We need to be responsible. We need to be socially responsible.

Yung Chee Leong United Overseas Bank Ltd - Group Chief Financial Officer

If I could add to that, Wee: Your question around our wealth, where it comes from. More than or roughly 58% of our wealth comes from overseas customers.

Your question around Middle East: I think, as you mentioned, our first order -- meaning, companies with direct, geographical exposure in Middle East -- that's less than 2% of our loan exposures.

The focus now is on second order, third order.

But second order is more looking at energy-vulnerable industries so sectors such as transportation, basic materials, utilities, agriculture, et cetera. We're looking and assessing how much of these industries and clients who are in these industries may be affected, as a result.

Third order is a little bit harder because it's a lot of assumptions around how prolonged this will be. There is potential impact on, overall, Asia's economic growth environment, inflationary pressures, and so on.

That actually requires much further stress scenarios. Yeah.

Rae Wee Thomson Reuters Corporation - Journalist

Thank you. Mr. Wee, I took your point on strong balance sheet. You are making sure that your staff is well taken care of.

I have seen some filing this morning about disposal of minor assets. There's a ongoing rationalization. Can I take it that you meant there would not be any job cuts at UOB?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Maybe I can clarify that: There was a filing today because we set up a company.

Rae Wee Thomson Reuters Corporation - Journalist

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's actually part of our [BAU] activity because, under our venture management business, we do occasionally set up a GP for managing funds for investors, right? That was actually something that's being set up, specifically for a digital fund that we are managing for a family office; a client.

Rae Wee Thomson Reuters Corporation - Journalist

Of course.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

With AI, a certain job may be taken over by AI. But, as a responsible employer, (technical difficulty) -- spend money to train our people; make sure that they are able to navigate into other fields. That is our job to do.

Ultimately, it's up to our employee. Give them the confidence; give them the secure environment. We also provide them the job -- on-the-job exposure. That is important.

No point to train KPI. At end of the day, you train them, you have to put them on the job to experiment. This is what we are trying to do.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

AI for us is not artificial intelligence. It's actually augmented intelligence.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

The priority is to roll out tools that augments our staff's capabilities; how they improve productivity, efficiency, customer service, risk management, et cetera.

A lot of the things we are doing is actually supporting our people. As a number or statistic to you, about 30,000 of our staff today have Copilot at their fingertips.

We are actively promoting the use of these tools; and training and reskilling our staff members.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

Our process is quite heavy. We have streamlined a lot of processes that cut across -- Singapore may be better -- but cut across the whole region processes.

I also want our staff to be happy: work-life balance. We are giving them the tool; make sure that they work hard but not long hour for productivity. That is our job.

Rae Wee Thomson Reuters Corporation - Journalist

Go on Disney cruise.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

Huh?

Rae Wee Thomson Reuters Corporation - Journalist

Go on Disney cruise.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

Many of them have gone on.

Yung Chee Leong United Overseas Bank Ltd - Group Chief Financial Officer

You see the emphasis with Punggol Digital District, us moving -- our teams, like, 2,000 staff. They're all very focused in terms of our tech/digital initiatives.

We've also started an innovation academy, dedicated to training our staff. You have seen that we've launched an innovation hub at NTU in the news articles in prior months.

I think it's all part of a continuum of activities that we undertake. It's a journey, right? It's not just a one-time exercise. This is here to stay. Yeah.

Operator

[Ula].

Unidentified Participant

I've got three questions.

One is: What do you see in this -- in the opportunity around RWA that Wholesale Banking -- is it mainly wealth or is it something (multiple speakers) -- between?

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

Trade is one thing.

Unidentified Participant

Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Trade is one thing.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Trade; maybe CASA.

Unidentified Participant

CASA. Also, transaction banking stuff, like trade (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yes. Cash management.

Unidentified Participant

-- and cash management. Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Liability management is very important.

Unidentified Participant

Okay. Okay. You're doing that. A lot of it anyway. But you intend to accelerate (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Unidentified Participant

-- more of that.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Well, you can see our deposit growth is not that high.

Unidentified Participant

Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Like, we are (multiple speakers) --

Unidentified Participant

You want to have more deposits. Okay.

The question on deposits (multiple speakers) --?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Cheap deposit.

Unidentified Participant

Cheap. The CASA. Okay.

(inaudible - microphone inaccessible) -- your peer. I'm going to have to bring their names to you.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Sure.

Unidentified Participant

They said they've brought a lot of deposits. They are putting them in [HQLA], while (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yes.

Unidentified Participant

-- loan growth has (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yes.

Unidentified Participant

-- moderated with them. What's your view on that? Are you doing the same thing? Or is that (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think there are two parts to the question. I shouldn't be commenting on what -- other (multiple speakers) --

Unidentified Participant

I'm asking, what are you doing?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Okay. There are two parts to it:

One is -- just bear in mind that our deposit growth, overall, is in line with system growth.

Unidentified Participant

Okay.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

If you look at the components of what we are doing (multiple speakers) --

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- at CASA level -- and maybe this is something you should ask others -- our CASA ratio at Retail is 58%. CASA ratio at Wholesale is 60%.

Unidentified Participant

Okay. You are higher than (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Those are fairly industry-leading.

Unidentified Participant

Yeah. That's it.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah. The reason why we focus on CASA is lower cost of deposits; better stickiness in terms of customer franchise; better opportunities to cross-sell.

Those are things that we have articulated as a strategic intent. We're executing well to that intent.

As for HQLA, I think that relates more to -- look, if you got excess deposits and you're not deploying it to higher return, users loans, and so on, then do you deploy this to HQLA to maintain your NII versus managing NIM, right?

Our perspective on that is you need to strike a fine balance between NIM, as well as NII. Of course, you want to make sure you continue to bring in NII; deploy excess deposits, right, into HQLA, as long as they are [view] positive, right?

At the same time, you cannot lose sight of your NIM, as well, because that's the overall margin in terms of your books. It's how your cost of funds and your yields, your funding mix -- it all comes together.

Unidentified Participant

The other thing, also, that we had from the previous briefing was that they have risk -- they have de-risked their SME and consumer franchise a bit in places like -- well, they said India, which you don't have; and Indonesia.

How (technical difficulty) -- you don't separate out the Indonesian market on your first quarter? Could you give us an idea of how that has performed?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Indonesia is still very small for us. I think maybe it's 3% (inaudible - microphone inaccessible) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

3% of our loan base profile.

Unidentified Participant

Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

-- (inaudible - microphone inaccessible) about the exposure.

I would say, it's easy to talk about de-risk. Like, end of the day, it's the origination. You look at the customer. (multiple speakers) --

Unidentified Participant

Mm-hmm. Mm-hmm.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

You look at employers.

Unidentified Participant

Mm-hmm. Mm-hmm.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

You look at the employment track record. Things like that.

We are still growing. You look at the (inaudible). You look at the mortgages.

Unidentified Participant

This is Indonesia?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah. In fact, this is a time -- especially the SME. You have to stand by them.

Unidentified Participant

Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

This is not the time to de-risk.

Unidentified Participant

Okay. Okay. That's it.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Okay.

Unidentified Participant

Okay. Okay. Who are your customers in Indonesia in terms of the consumer? Are they the (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

The higher. Yeah.

Unidentified Participant

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Affluent customers.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Affluent customers.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah.

Unidentified Participant

The SMEs are the medium?

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

We do have more big corporates, I would say, because we have a limited distribution (multiple speakers) --

Unidentified Participant

Mm-hmm. Mm-hmm.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

-- Point.

Yung Chee Leong United Overseas Bank Ltd - Group Chief Financial Officer

Retail is mid-, high-affluent customer base. Likewise, for the Wholesale Banking, when you're out in countries outside of Singapore (multiple speakers) --

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong United Overseas Bank Ltd - Group Chief Financial Officer

-- whether it's SME or large customers, I think it's guided by our [Strategic Solutions Group].

We've identified seven specific industries. We're guided by those industries.

Singapore, because its home market, we are more broad-based. We provide services across the whole spectrum of customers.

Outside of Singapore, it's more targeted because there's information asymmetry, when you're operating in somebody else's backyard.

Unidentified Participant

Okay.

Wee Ee Cheong United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer

So (multiple speakers) --

Unidentified Participant

Just one final question.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Sure.

Unidentified Participant

On the SGD231 million ECL, what percent? Have you changed your [MEV] model, at all? Or is it because of the Middle East and -- from the tariff to the Middle East? I could imagine there'd be a lot of changes. Okay.

And then, the SGD341 million of NPA formation. Where was that from? (inaudible - microphone inaccessible) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Sorry. What was the question on the NPA formation?

Unidentified Participant

Where -- what sector or what geography was that?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think, if you step back and look at our [BAU] run rate, usually, NPA formation is -- should be normalized around SGD300 million to SGD400 million in [arrangement] quarter.

Unidentified Participant

Mm-hmm. Mm-hmm. Okay.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah. I think it's in that range. You can't run a business with zero NPA formation.

Unidentified Participant

Okay.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think, with respect to the MEV, I think we are starting to take some of the uncertainties around Middle East to account.

Also, bear in mind that the first two months of this year was pre-Middle East, right? Effectively (technical difficulty) -- tensions flared up February 28.

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

That continues to be the case. We will continue to monitor and adjust accordingly. That -- you should probably expect MEV refresh to be adjusted in the following quarters.

Unidentified Participant

The tariff thing has gone. (inaudible - microphone inaccessible) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah.

Unidentified Participant

Are they over? or what -- how do you view this? How do you build it into your second -- and your stress test? Do you build it in? Or how do you build it in? (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It has not gone away. But it has morphed.

Unidentified Participant

-- into a war.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Into a war.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

That's not for us to comment.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

But I think the tariff numbers still factors into consideration, when we talk to clients. Clients need to take that into account, when they make their CapEx and investment decisions.

That has not gone away. But it's been, I guess, superseded by (multiple speakers) --

Unidentified Participant

By the war.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- logistical issues, fuel costs, lack of access to materials, and potential impact on demand.

There are other implications now for them to take into account.

Unidentified Participant

(inaudible - microphone inaccessible) -- also, in terms of your stress test, does it change? It has to change a lot within the last year. It must have changed a few times.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah. You look at it, it's all gray.

Unidentified Participant

Because it's all gray. That's right. Yeah.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

At the end of the day, I think there is no right and wrong. At the end of the day -- very difficult for us to predict what is going to happen. It is a very unpredictable world.

We have to make sure that we take care of ourselves first. That is the first priority.

If we can't even take care of ourselves, how are we going to take care of our customer? That is the very basic fundamental.

Unidentified Participant

Sure.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

We have to be strong. We take care of customer responsibility.

Unidentified Participant

Yeah.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

That is important. Not every customer, we will take care. Make sure that customer with a good track record; has been with us for a long time, then we will continue support because they will have to go through a hump.

This is not something that is the business failure. This is the external factor.

Unidentified Participant

Just to be clear, also, with, what Yung Chee mentioned about NPA: You said that within range -- that, in each quarter, SGD300,000 to SGD 400,000.

That's also applicable to the Greater China formation, right? You said that it's all well covered.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

It's a whole book, right? It's a whole book.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Our GP coverage, I'll point back, again (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

GP is good. Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- in Q3, when we raised (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah. Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- provision coverage, it brought our GP coverage to 1%.

Unidentified Participant

Yes.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

For the last three quarters -- Q3, Q4, and, now, 1Q -- you've seen that our GP coverage remains at 1%.

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

In fact, we were getting questions this morning from other people, why don't you raise it more? Right?

Unidentified Participant

I was wondering.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah. Given Middle East. I think that blends with what Ee Cheong was mentioning. The situation (multiple speakers) --

Unidentified Participant

Okay.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- started end of February. We are monitoring. There's still a lot of uncertainties. The impact is still yet to be fully transmitted through our economies.

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I don't think we are saying that there will not be any more. I'm saying that we need to be watchful and adjust accordingly, if things deteriorate. Yeah.

Unidentified Participant

But for, specifically -- I'm being painful here.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah.

Unidentified Participant

I'm sorry about that.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

No.

Unidentified Participant

But Greater China: Is there a concern? Because the spike of 15% on quarter -- is it from real estate? Is it Hong Kong or Greater China? Do you see that coming down soon?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's Greater China. It is real estate. I think that was raised earlier on.

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I also highlighted that, even though our NPL ratio and NPA coverage had moderated slightly because of that -- but our unsecured coverage for Greater China portfolio continues to be comfortable.

Unidentified Participant

Thank you.

Operator

[Sheila], The Straits Times.

Sheila, could you unmute yourself and ask your question, please?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

If we can't, open back to the floor here.

Operator

Okay. Any other questions from the floor? Yeah. Sorry. Yeah.

The Business Times.

Unidentified Participant

Thank you for your presentation earlier. I have two questions: again, on wealth; and the other, on manpower.

The first, on wealth: What has become increasingly important for all the banks (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah.

Unidentified Participant

-- including UOB? Do you ever think of pursuing further M&A to grow its market share and wealth in the region? Are there opportunities in this area that you are looking at?

The second, on manpower: You've talked about AI. UOB's workforce shrank in 2025 compared to a year ago. What is your outlook on headcount this year, considering what AI can do, as you've pointed out earlier, as well?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Wealth. Everybody's focusing on wealth, right? If there's opportunity, I believe the price will be very high, right? End of the day, it got to make sense. It got to make sense, right?

What makes sense to me, at this point in time -- I'm not ruling out inorganic growth. Organically, we can grow. This is our strong point.

Other people don't have the customer base. I have the customer base.

Unidentified Participant

Mm-hmm. Mm-hmm.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Okay? That is the key, key differentiator. The next quarter or so, we will start to see that happen.

The second question is?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Around headcount.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

So (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Headcount. I think we are managing it. We will continue to grow certain segment that we need to grow.

In terms of wealth, we will continue to increase our headcount on wealth.

Certain segment, we can de-emphasize. But certain segment, we will overemphasize.

On balance, I would say it's quite stable. Quite stable.

Despite the AI, despite that (inaudible) -- you see from the newspaper.

You are the writer. You say, oh, people retract. I think that is the last resort.

It's a very negative way, right? You want to train people. At the same time, you tell them in their face, after you train, you get retract. No.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's largely stable.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's natural progression of the headcount and workforce across the year. We continue to invest in areas where there are growth opportunities and hire people.

Unidentified Participant

Which areas that you see as less opportune? Wealth is something that you will emphasize and add. But which areas that Mr. Wee said will de-emphasize?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

De-emphasize?

Unidentified Participant

Which area is less relevant to growth for you now?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Well, certain job, like our call center, we can make use of AI. Automate certain processes.

I can use the robotic -- you can see all this -- so we can depend less on human. Okay?

Make the service more predictable.

Unidentified Participant

Thank you.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Let me emphasize again, right? It's about augmenting our staff, not replacing.

All the AI initiatives that we are pursuing, again, it's about improving productivity, improving efficiency, improving our risk management, right? These things helps our staff.

We have to improve productivity. If you have natural attrition, you don't have to replace at the same replacement rate. We are managing this, over time, not replacing staff with AI.

I think the notion that accountability and trust can be replaced by an artificial bot, I think that's not the philosophy that we ascribe to.

Unidentified Participant

Understood. Thanks for that clarification.

Operator

I think I'll just read out the question from Sheila from The Straits Times.

Will you share UOB's acquisition strategy in the region, particularly in light of reports that we had explored acquiring HSBC's Indonesian assets, which was eventually bought by OCBC? How does this shape UOB's inorganic growth plans, going forward?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think CEO mentioned that briefly. We are always on the look-out for opportunities (multiple speakers) --

Operator

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- whether previously or going forward. Now, whether the opportunities make sense, it has to check quite a few boxes; whether it meets our strategy.

Does it meet certain capabilities that we want? Are they filling certain business gaps that we don't have or geographical gaps? Also, ultimately, is the price to pay correct?

It's not just a dollar price. Now, don't forget, there's also integration cost. In going forward, do you think the cost synergies and revenue synergies are going to make sense for you?

The calculation isn't just about the transaction price but the cost of the entire project itself has to make sense.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

You look at our acquisition of Citibank. The lesson learned: The integration is not as straightforward as one would think.

Unidentified Participant

Mm-hmm. Mm-hmm.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

It set us back a few. The benefit is we have the over 8 million customer base that we are looking. This is already water under the bridge.

We are now trying to monetize this. Okay? But the initial part of it is actually quite [stressful].

We have to use Citibank technology platform, while we are building our platform. It cost us arm and leg to make use of Citibank platform.

But it's all over. That is a strategic move that we think is important for us to scale, especially the consumer business.

Don't underestimate that 8.5 million. Now, in fact, our customer base is bigger than Singapore. It's growing.

You can see that. People are our business partner. They want to deal with us because of our customer base.

You look at Disney. You look at Taylor Swift. Why are they coming to us? Because of our regional footprints. People from Thailand. People from Vietnam. That is the power of connecting. Don't underestimate that.

Okay. For me to generate wealth, right, in the digital way, in a cost-effective way, is easier than including our app. This is what we are doing: infrastructure, our TMRW app.

I can share with you my [CIO] fund, the growth is 300%. But these are small number. It's not I'm dealing with a sovereign wealth fund (inaudible) -- suddenly put in SGD5 million, SGD10 billion. No.

But this is sustainable. People can trust us. Every month, [SGD100], [SGD200] -- but accumulate. This is where you want.

Unidentified Participant

You mean that there's been a 300% close in money coming into from your TMRW app?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

From our TMRW app -- what they call the CIO Funds, right?

Unidentified Participant

Funds. Yes. Yeah.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

A few billion dollars.

Unidentified Participant

A Few billion?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

No. A few billions.

Operator

I think, [Gula], we'll take that offline.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

You can take it offline. I can give you the exact number.

Unidentified Participant

Provide us that. Oh. Okay.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Okay? These are all well-distributed.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

These are curated fund, wealth management ideas, for our clientele that they can access directly from the TMRW.

I think, the statistics, we'll take it offline and provide it to you.

Operator

I think that's all the time we have today.

Unidentified Participant

Well, but (multiple speakers) --

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah.

Unidentified Participant

-- following your integration -- your costs were a bit high these last two years. That was because of the integration, over and above the one-off (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah. Of course.

Unidentified Participant

So (multiple speakers) -

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

The cost (inaudible) -- high because my revenue actually went up, right?

Unidentified Participant

Yeah. Yeah. Yeah.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Because when my revenue go up (multiple speakers) --

Unidentified Participant

Yeah. Yeah.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

-- we were able to get the customer base.

Unidentified Participant

Yeah.

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

It's already there.

Unidentified Participant

You think -- the CIR, the cost-to-income ratio should (multiple speakers) --

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yeah.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

There are a few things: the cost relating to Citi (multiple speakers) -- both the acquisition, as well as the integration costs (multiple speakers) --

Unidentified Participant

All over.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- over. Over. Yeah.

Unidentified Participant

The whole platform tech stuff, all done?

Wee Ee Cheong *United Overseas Bank Ltd - Deputy Chairman, Chief Executive Officer*

Yes.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

As for cost, looking forward, I think it's a balance that you need to strike because we can always manage CIR by turning off the taps in terms of investments forward.

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

But I think we are keeping a very balanced approach in terms of continued investment in people; continued investments in technology stack. Forward-looking investments, as well; what we need to build.

I think cost-to-income ratio is something we will watch, obviously, very carefully.

Unidentified Participant

Okay.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It swings with time, as well as income (multiple speakers) --

Unidentified Participant

Mm-hmm. Mm-hmm.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

-- numbers, as well.

Unidentified Participant

Okay.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think we've guided. Our cost growth this year is likely to be in the low-single digits.

We need to continue to make investments in our people and platforms.

Operator

All right. Thank you. That's all the time we have today.

Thank you very much. If you have any further questions, do reach out to the team. They'll assist you with that.

Thank you.

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